Nov 2026 attempt

Ind AS 1 — Presentation of FS

Only what gets examined + what confuses. Read once, close the book, recall.

1 Complete set of FS para 10

1. Balance Sheet
2. Statement of P&L **incl. OCI — ONE statement**
3. Statement of Changes in Equity
4. Cash Flow Statement
5. Notes (**material** accounting policy info)
6. Comparatives of previous period

Third Balance Sheet 40A

Needed only if **ALL**:

→ retrospective policy change / restatement / **reclassification**

→ MATERIAL effect on opening BS of comparative year

Dated **start of preceding period**

(FY 24-25 FS → 1 Apr 2023). No notes needed except Ind AS 8 disclosures.

2 Indian carve-outs vs IAS 1

Point	IAS 1	Ind AS 1
P&L and OCI	1 or 2 statements	**Single statement only**
Analysis of expenses	Nature or function	**Nature only** 99
Covenant breach on/before RD, lender waives **after RD but before approval**	**Current**	**Non-current** 74

3 Going concern 25-26

Assess **at least 12 months from end of reporting period** (minimum, not a limit)

Material uncertainty but GC still OK → **use GC + disclose uncertainty**

Intends to liquidate / cease, **or no realistic alternative** → **NOT going concern basis**

Disclose: **fact + basis used + reason**

Uncertainty → DISCLOSE. No realistic alternative → CHANGE BASIS.

4 One-liners that fetch marks

- → **Extraordinary items — PROHIBITED** 87. Exceptional items may be shown (Sch III).
- → **No offsetting** unless an Ind AS requires/permits 32. OK: gain/loss on disposal of NCA shown net; expense net of Ind AS 37 reimbursement.
- → **Materiality:** material items shown separately; immaterial item → no disclosure even if an Ind AS lists it.
- → **Change in presentation:** reclassify comparatives + disclose nature, amount, reason 41 (impracticable → say why).
- → **Material** accounting policy info (2023 amendment) — ~~significant~~. Standardised text that just repeats Ind AS = not material.
- → **Departure from Ind AS** 19 — only "extremely rare" misleading case, framework must not prohibit; heavy disclosure.
- → **Judgements** 122 ≠ **estimation uncertainty** 125 (risk of material adjustment **within next year**).
- → **Capital management** disclosure 134–136. **Dividends** proposed after RD + **arrears of cumulative pref.** → notes 137.

5 The tests 66 · 69

ASSET is current if ANY:

- realised in normal operating cycle
- held for trading
- realised within 12 months
- cash / CE (unless restricted ≥ 12 m)

LIABILITY is current if ANY:

- settled in normal operating cycle
- held for trading
- due within 12 months
- **no RIGHT at RD to defer ≥ 12 m** 69(d)

- → Operating cycle **not identifiable** → **assume 12 months** 68 · 70
- → Trade payables, accrued employee cost in operating cycle → **current** even if due > 12 m
- → **Deferred tax** → **NEVER current** 56
- → Counterparty's conversion option **classified as equity** → ignored for classification 69(d)

MOST EXAMINED

⑥ Loan classification — every permutation

#	Situation (RD = 31 Mar)	Result	Para
1	Unconditional refinancing **signed on/before RD**	**Non-current**	69(d)
2	**Existing** facility, roll-over at **entity's own discretion** ≥ 12 m & intends to	**Non-current**	73
3	Roll-over needs **lender's** approval / no facility	**Current**	73
4	Signed before RD but **conditional** (bank credit committee approves after RD)	**Current**	no right at RD
5	Only **discussions** at RD → refinanced after RD, **before** approval	**Current**	72 · disclose 76
6	Discussions at RD → refinanced **after FS approved**	**Current**	no refi note; liquidity / GC
7	Breach on/before RD; **grace agreed by RD**, ends **≥ 12 m** after RD	**Non-current**	75
8	Breach; grace agreed by RD but ends **< 12 m** after RD	**Current**	75
9	Breach on/before RD; lender waives **after RD, before approval**	**Non-current**	**74 carve-out**
10	Breach; waiver **after FS approved**	**Current**	window closed
11	Breach happens **after RD** (covenant tested in April)	**Non-current**	Ind AS 10 non-adj
12	Instalment loan (₹10 cr due in 12 m of ₹50 cr)	₹10 **C** / ₹40 **NC**	current maturities

REFINANCE = CREATE a new right → **Current**
WAIVER = RESTORE the old 2029 loan → **Non-current**

📷 **Photograph test:** the BS is a photo at midnight 31 Mar. A right signed in April is a **new photo** — can't edit the old one.

⚠ **TRAP**

Approval date **NEVER changes refinancing** classification (always current) — it only decides disclosure.

In **breach-waiver**, approval date **DOES flip** it (before → NC, after → C).

"Exactly 12 months" grace = **at least 12** → **NC**.

ASKED EVERY ATTEMPT

7 OCI — the two buckets 82A

Will NOT be reclassified to P&L	WILL be reclassified to P&L
Revaluation surplus (Ind AS 16 / 38)	Cash flow hedge — effective portion
Remeasurement of defined benefit plans	FVOCI **DEBT** instruments
FVOCI **EQUITY** instruments	Foreign operation translation difference
Own credit risk — FVTPL liability	Cost of hedging (time value / forward points)

→ **Tax on OCI:** per item **or** per bucket — never one lump for all OCI.

→ **Reclassification adjustment** = amount recycled from OCI to P&L in current period — disclose.

⚠ TRAP

Revaluation surplus never recycles — may be transferred **directly to retained earnings** (within equity), not via P&L.

FVOCI equity: gain stays out of P&L **even on sale**. **FVOCI debt**: recycled on sale.

Memory: "DEBT comes back, EQUITY never does."
Hedge & Forex also come back (they were always "temporary").

8 Exam-ready sentences

✍ Write in exam

Refinancing after RD: "As per para 69(d) of Ind AS 1, the right to defer settlement must exist at the end of the reporting period. Since the refinancing agreement was concluded after the reporting period, the loan is classified as current (para 72); the refinancing is a non-adjusting event and is disclosed as per para 76 read with Ind AS 10."

✍ Write in exam

Breach waiver: "As per the Indian carve-out in para 74 of Ind AS 1, since the lender agreed after the reporting period but before approval of the financial statements for issue not to demand payment as a consequence of the breach, the liability shall not be classified as current."

✍ Write in exam

Going concern: "Management has identified material uncertainties that may cast significant doubt on the entity's ability to continue as a going concern; the FS are prepared on a going concern basis and these uncertainties are disclosed (para 25)."

9 60-second recall checklist

- ☐ 6 components
- ☐ 3rd BS: 2 conditions
- ☐ 3 carve-outs
- ☐ GC: disclose vs change
- ☐ 12-row loan table
- ☐ DT never current
- ☐ OCI 4 + 4 items
- ☐ Extraordinary banned
- ☐ Material policy info